

The treatment of instruments issued out of consolidated subsidiaries of the bank and the regulatory adjustments applied in the calculation of Tier 2 Capital are addressed in separate sections.

Instruments issued by the bank that meet the Tier 2 criteria

58. The objective of Tier 2 is to provide loss absorption on a gone-concern basis. Based on this objective, the following box sets out the minimum set of criteria for an instrument to meet or exceed in order for it to be included in Tier 2 capital.

Criteria for inclusion in Tier 2 Capital	
1.	Issued and paid-in
2.	Subordinated to depositors and general creditors of the bank
3.	Is neither secured nor covered by a guarantee of the issuer or related entity or other arrangement that legally or economically enhances the seniority of the claim vis-à-vis depositors and general bank creditors
4.	Maturity: a. minimum original maturity of at least five years b. recognition in regulatory capital in the remaining five years before maturity will be amortised on a straight line basis c. there are no step-ups or other incentives to redeem
5.	May be callable at the initiative of the issuer only after a minimum of five years: a. To exercise a call option a bank must receive prior supervisory approval; b. A bank must not do anything that creates an expectation that the call will be exercised;¹⁹ and c. Banks must not exercise a call unless: i. They replace the called instrument with capital of the same or better quality and the replacement of this capital is done at conditions which are sustainable for the income capacity of the bank²⁰; or ii. The bank demonstrates that its capital position is well above the minimum capital requirements after the call option is exercised.²¹
6.	The investor must have no rights to accelerate the repayment of future scheduled payments (coupon or principal), except in bankruptcy and liquidation.

¹⁹ An option to call the instrument after five years but prior to the start of the amortisation period will not be viewed as an incentive to redeem as long as the bank does not do anything that creates an expectation that the call will be exercised at this point.

²⁰ Replacement issues can be concurrent with but not after the instrument is called.

²¹ Minimum refers to the regulator's prescribed minimum requirement, which may be higher than the Basel III Pillar 1 minimum requirement.

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7. The instrument cannot have a credit sensitive dividend feature, that is a dividend/coupon that is reset periodically based in whole or in part on the banking organisation's credit standing.
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8. Neither the bank nor a related party over which the bank exercises control or significant influence can have purchased the instrument, nor can the bank directly or indirectly have funded the purchase of the instrument
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9. If the instrument is not issued out of an operating entity or the holding company in the consolidated group (eg a special purpose vehicle – "SPV"), proceeds must be immediately available without limitation to an operating entity²² or the holding company in the consolidated group in a form which meets or exceeds all of the other criteria for inclusion in Tier 2 Capital
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Stock surplus (share premium) resulting from the issue of instruments included in Tier 2 capital;

59. Stock surplus (ie share premium) that is not eligible for inclusion in Tier 1, will only be permitted to be included in Tier 2 capital if the shares giving rise to the stock surplus are permitted to be included in Tier 2 capital.

General provisions/general loan-loss reserves (for banks using the Standardised Approach for credit risk)

60. Provisions or loan-loss reserves held against future, presently unidentified losses are freely available to meet losses which subsequently materialise and therefore qualify for inclusion within Tier 2. Provisions ascribed to identified deterioration of particular assets or known liabilities, whether individual or grouped, should be excluded. Furthermore, general provisions/general loan-loss reserves eligible for inclusion in Tier 2 will be limited to a maximum of 1.25 percentage points of credit risk-weighted risk assets calculated under the standardised approach.

Excess of total eligible provisions under the Internal Ratings-based Approach

61. Where the total expected loss amount is less than total eligible provisions, as explained in paragraphs 380 to 383 of the June 2006 Comprehensive version of Basel II, banks may recognise the difference in Tier 2 capital up to a maximum of 0.6% of credit risk-weighted assets calculated under the IRB approach. At national discretion, a limit lower than 0.6% may be applied.

4. *Minority interest (ie non-controlling interest) and other capital issued out of consolidated subsidiaries that is held by third parties*

Common shares issued by consolidated subsidiaries

62. Minority interest arising from the issue of common shares by a fully consolidated subsidiary of the bank may receive recognition in Common Equity Tier 1 only if: (1) the instrument giving rise to the minority interest would, if issued by the bank, meet all of the

²² An operating entity is an entity set up to conduct business with clients with the intention of earning a profit in its own right.